STRATEGIC BUSINESS MANAGEMENT
Suggested Answers
March-April 2022

Answer to the Question # 1 (a)

The company had followed the stability strategy to tide out the economic crisis. It decided to maintain its production to pre-covid period. It reflected in the decision of the top management to operate its two plants in Chittagong and Khulna 100% capacity. It also decided to widen its distribution network to counter the challenge of contraction in demand. It identified rural sector to market aggressively its packing boards. The company has rightly decided against divestment or liquidation strategies as it knew that the meltdown was only a passing phase, so the need of the hour was to stay afloat and then wait for the appropriate time to plan for expansion, if needed.

Answer to the Question # 1 (b)

The top management of the company under the leadership of Mr. Kabir Managing Director of the company decided to adopt various functional strategies to ride out the slowdown. After several rounds of brainstorming sessions with the top management Mr. Kabir identified the focus areas to took initiatives on the following functional strategies.

Production strategy: In the face of the contracting demand, Mr. Kabir took a bold decision to play a contrarian card. Instead of shutting down plants and cutting production he decided to operate the company's two plants in Chittagong and Khulna at 100% capacity. Moreover, he also took another unusual decision to buy pulp- the main raw material of the paper industry, when the prices crashed substantially, in huge quantity to build up its massive stockpile to last for about 9 months as against the usual practice of buying pulp stock for about 3 months. This resulted in a huge saving for the Company,

Marketing strategy: To maintain the production and subsequent sales, the company decided to identify new customers and widen its distribution networks to reach out to new customers. The thrust was laid to push the sales of its packaging boards material to consumers in the rural areas where the effects of pandemic was not that severe. Prices were reduced by 2-3% to give thrust to sales.

Financial strategy: For managing working capital, the company took an unusual step of not approaching banks and investors. Instead, company decided a unique strategy to intensify its efforts to collect its receivable from its clients. The company succeeded in collecting crores of Taka in a very short period through debt recoveries. It even decided to settle its disputed receivables outside the court very expeditiously. This also fetched a good a good amount of cash to the company. The company also took decision that led to cost reduction. It reduced its workforce and reduced its expenditure on account of wages. It also made bulk purchase of raw material to reduce the cost and improve.

Human resources management strategy: the company took steps to improve employee's productivity and reduction in wages bill. The top management was also giving all its employees lower increment. Even Mr. Kabir did not accept any increment for himself. Nonperforming employees were asked to leave the company. New recruitment of employees was stopped unless it was critically important.

Review of organizational structure: for the successful implementation of the company's strategies to ride out the slowdown, the organization structure of the company was reevaluated and reviewed. It was directed towards improving efficiency within the organization.

Answer to the Question # 1 (c)

In the company a strategic leadership was provided by its managing director who discharges his responsibilities through the following well thought out strategies:

i) To manage the employees of all classes for effective and efficient working
ii) Sustaining high performance over a period of time
iii) Willingness to take candid bold and at times unusual and contrarian decisions
iv) Taking such decision-making responsibilities which cannot be delegated
v) Effective feedback through face-to-face communication

When AJ Paper was in the midst of financial crisis due COVID related economic meltdown its Managing Director realized that it was the time to buy down the hatchets and prepare for a long haul. Like a truly effective leader he took some contrarian decision to put company back in track, some of the important decisions were.

i) To operate company's plant at Chittagong and Khulna at their 100% capacity so that production remain at pre-pandemic levels.
ii) To match sales with production to overcome the effects of negative situation on the company's sales. It was decided to widen the distribution network to reach out to new customers.
iii) He also refrained from easy decision to approach banks and investors fr funs to manage working capital requirements. Instead, he initiated steps for speedy recovery of debts from its clients including recovery of disputed receivables through negotiated settlements. All these resulted in collecting crores of Taka in a short period.
iv) He also set an example before employees by refusing to accept any increment in his own salary. Employees also accept lower increments for 2019-20.
v) That Mr. Kabir provided an effective strategic leadership by taking some bold, convergent and contrarian decisions which a helped the company to come out of its crisis.

Answer to the Question # 1 (d)

There are lessons to be learnt from any crisis. The lessons learned from the AJ Paper can be summarized as below:

i) Do not panic - there is no need to panic even if the company is facing difficult times such as contraction of demand or is facing liquidity crunch. On the contrary, one should look at the strong points of the organization to convert threats into opportunities.
ii) Consult others- during COVID situation when the company is facing crisis, Managing Director of AJ Papers held several brainstorming sessions. The issues were discussed with the team to identify ways to overcome the situation. Through the process, the company identified focus areas such as managing working capital flows, cost cutting and improving employee's productivity.
iii) Go to micro level- while analyzing different aspects of the crisis, consider all relevant aspects of the business. Novel ideas may emerge in the process. Identify the major a as of improvements and break them into micro plans and decisions.
iv) Take bold decisions- when the situation is not as desired the company should take bold decisions or it sustainability. Identifying new markets or asking unproductive employees to leave are some of the bold decisions taken by A J Papers.
v) Leaders should set an example- the virtues reflected in the behavior of the leaders are often imbibed by the followers. Hard work, dedication, and commitment also trickle down in the organizational hierarchy, individual in any organization can also accept decisions better if they are uniformly applicable, in the given case MD took the leadership role and helps the company to pass the odds.

Answer to the Question # 2 (a)

Enterprise Risk Management protocols may be as follows:

- Appropriate risk management framework identified and adopted, with modifications as appropriate.
- Suitable & sufficient risk assessments completed & the results recorded in an appropriate manner.
- Procedures to include risk as part of business decision-making established & implemented.
- Details of required risk responses recorded, together with arrangements to track risk improvement recommendations.
- Incident reporting procedures established to facilitate identification of risk trends, together with risk escalation procedures.
- Business continuity plans and disaster recovery plans established and regularly tested.
- Arrangements in place to audit the efficiency and effectiveness of the controls in place for significant risks.
- Arrangements in place for mandatory reporting on risk, including reports on at least the following:
  - Risk appetite, tolerance, and constraints
  - Risk architecture and risk escalation procedures
  - Risk aware culture currently in place
  - Risk assessment arrangements and protocol
  - Significant risks and key risk indicators

Answer to the Question # 2 (b)

Main types of exchange risks of Surma Bank

Transactions exposure
This is the risk that at the exchange rate moves unfavourably between the date of agreement of a contract price and the date of cash settlement.

Economic exposure
This is the risk of an adverse change in the present value of the organisation's future cash flows as a result of longer – term exchange rate movements.

Netting off
The Surma bank Limited will receive domestic income in its local currency but will make settlements (net receipts or payments) with foreign operations in US Dollars. It may appear that most of the currency risk is hedged because Dollar payments are balanced against Dollar receipts before settlement. However, although this is a good way of reducing currency transaction costs, it does not remove currency risk.

Residual risk
Although the foreign transactions are denominated in Dollars, the exchange risk involves all the currencies of the countries with which the company deals with. For example, if money is owned to Germany and the Euro has strengthened against the Dollar, then the Dollar cost of the transaction has increased. Also, although all of these transactions are short term, their combined effect is to expose the company to continues exchange risk on many currencies. Surma Bank Limited needs a strategy to manage this form of economic exposure.

Management of currency risk
One way to manage currency risk in this situation is to attempt to match assets and liabilities in each currency as follows:

(i) Surma Bank limited needs to examine each country with which it deals with and, having selected those with which it has a material volume of transactions, determine in each case whether there is a net receipt or net payment with that country and the average amount of this net receipt/payment.
(ii) If for a given country there is normally a net receipt, currency risk can be hedged by borrowing an amount in that currency equal to the expected net receipt for the period for which hedging is required, and converting this amount to the home currency.
(iii) For countries where there is normally a net payment, a deposit account in this currency should be maintained.

Recommendation
This strategy will go some way towards hedging currency risk in the various countries involved but will involve increased currency transaction costs and possibly increased interest costs. It is therefore probably only feasible for major currencies (e.g., US Dollar, Euro, Yen) and for currencies of Asian countries with which there are major transactions volume.

Answer to the Question # 2 (c) (i)

1 Forward exchange market

The rates are:

	USD/GBP
Spot	1.7106 – 1.7140
3 months' forward	1.7024 – 1.7063
6 months' forward	1.6967 – 1.7006

The net payment three months hence is GBP 116,000 -USD197,000/1.7063 = GBP 546

The net payment six months hence is USD (447,000 – 154,000)/1.6967 = GBP 172,688

The Dollar receipts can be used in part settlement of the Dollar payments, so only the net payment is hedged.

2 Money market

USD 197,000 will be received thee months hence, so USD 197,000/(1 + 0.09 X 3/12) may be borrowed now and converted into GBP, the Dollar loan to be repaid from the receipts.

The net GBP three months hence is:

GBP 116, 000 – USD 197,000/1+(0.09 X ¾) X 1/1.1740 X (1 + (0.095XX3/12)) = GBP 924

The equation for the USD 197,000 receipt in three months is to calculate the amount of Dollars to borrow now and then to find out how much that will give now in GBP. The final amount of GBP after thee months is given by multiplying by GBP lending rate.

USD 293,000 (net) must be paid six months hence. We can borrow GBP now and convert it into USD, such that the fund in six months will equal USD 293,000. The GBP payment in six months' time will be the principal and the interest thereon. A similar logic applies as for the equation above except that the situation is one of making a final payment rather than a receipt.

The GBP payment six months hence is therefore

293,000/a + 0.06 X 6/12 X 1/1.17106 X (1 + 0.125 X 6/12) = GBP 176,690.

Answer to the Question # 2 (c) (ii)

Available put options are at USD 1.70 (cost 3.45 cents per GBP) and at USD 1.80 (cost 9.32 cents per GBP).

Using options at USD 1.70 gives the following results.

GBP 293,000/ USD1.70/GBP = GBP 172,353

Contract required GBP 172,353/GBP 12,500 = 14 (to the next whole number)

Cost of options = 14 X 12,500 X 3.45 cents = USD 6,038

14 contracts will provide, for GBP 12,500 X 14 = GBP175,000, USD (175,000 X1.70)
= USD 297,500

The overall cost is GBP 175,000 + (USD 293,000 + USD 6,038 + USD 297,000)/1.6967

= GBP 175,906

As this figure exceeds the cost of hedging through the forward exchange market (GBP172,688), use of USD 1.70 options would have been disadvantageous.

Note. The rate of 1.6967 is used instead of 1.7006 because buying 14 contracts leaves the company slightly short of Dollars (by USD 293,000 + 6,038 – USD 297,500
= USD 1,538

Using options at USD 1.80

USD 293,000/1.80 USD/GBP = GBP 162, 778

Contract required GBP 162,778/GBP 12,500 = 14

Cost of options = 14 X 12500 X 9.32 cents =USD 16,310
14 contracts will provide, for GBP 12,500X 14 = GBP175,000 X 1.80 = USD 315,000

the overall cost is GBP 175,000 + (USD 293,000 + USD 16,310 – USD 315,000)/1.7006

= GBP 171,654

The figure is less than the cost of hedging through the forward exchange market, so use of USD 1.80 options would have been preferable.

Answer to the Question # 3 (a)

- The foundation of a strong home base helps to support global strategies (and is not contradictory to globalization!). Porter argued that industrial sectors are clustered in geographical regions, which need nurturing to ensure a sufficient concentration of suppliers and specialised resources, so that a balance of home-based and dispersed foreign activities are pursued.
- This view of Porter is called the Competitive Advantage of Nations, otherwise known as Porter's Diamond.
- Porter's Diamond is made up of four core factors (firm strategy and structure, demand conditions, related and supported industries, and factor conditions) and one peripheral factor (the role of government).
- With the growing importance of emerging markets, some large organizations have been able to reap the benefits of local supplies as supported by the government.

Answer to the Question # 3 (b)

- There are four strategic approaches for global level business activity: multidomestic strategy, global strategy, international strategy, and transnational strategy (glocalization).

  These options against two dimensions – pressure to adapt to location conditions and pressure to cut costs, The suitability of the use of each of these strategies is dependent on these and other reasons.

- Multi-domestic strategy is the use of different products/services in different countries, and this is because most markets are distinctly different and so a specific strategy for the country is required. It is necessary to take into account of local conditions and understanding local culture is of utmost importance.
- Global strategy is the use of standardized products to exploit markets in different countries. The famous academic marketer, Levitt argued the benefits of using a standard product as over the years, through globalization, countries and companies that specialises in products/services will built up an expertise in them and the world's tastes and commonalities will become more and more alike.
- International strategy is the use of innovation to exploit markets in different countries. Technology, products or services are developed in the home country and extended to less developed international markets, so that corporate objectives are managed at the centre and activities deployed externally. Knowledge of foreign markets is important.
- Transnational strategy ('glocalization' – made up of two words, globalization and localization). It involves a combination of multi-domestic and global strategies. It is important to recognise how the global market is made up of many different local markets. Such a strategy requires the organization to think carefully about how the overall objectives of the central business are met against the need for local knowledge.

Answer to the Question # 3 (c)

- Downsizing concerns the reduction in the size of a corporate entity, but a common misbelief is that this action is a response of a failing organization. Downsizing can be performed as a way to sustain competitive advantage by reducing any part of the business that is not core and highly value-contributing to the organization; if performed well, can make the necessary cost savings against its competitors.
- Downsizing is associated with the idea of business process reengineering (BPR) which is quite a large topic area in strategic management. The principle is that as organizations go through radical rescaling, then the structure of the entire organization should be redesigned around that rescaling to best ensure it is done so to achieve competitive advantage. Such redesign can include the additional use of outsourcing, where those things that are not the obvious competence or directly contribute value to the company can be done by external organizations.

Answer to the Question # 3 (d) (i)

Strategy for A:
Strategy I:

(a) Sell 2000 units to S at 400 Taka/u and 1500 units outside @ 460 Taka/u
(b) Contributions: 100x2000 = 200,000
(c) Contribution (outside) 160 x 1500 = 240,000
(d) Total Contribution for 3500 units 440,000
(e) Less: Fixed Cost = 200,000
(f) Profit 240,00

Strategy II:

Sell 1500 units to B at 380/unit and 2000 units outside at 460/u
Contribution B: 380-250 excluding selling cost = 130x1500 = 195,000
Contribution outside = 160 x 2000 = 320,000
Total Contribution = 515,000
Less: Fixed Cost = 200,000
Profit 315,000
Selling all 3500 units only to B or only outside are less profitable than the above two options and are rejected.
Select Strategy II for A.

Answer to the Question # 3 (d) (ii)

B can get an equivalent product outside at Taka 380 but must incur additional costs up to Taka 420. A can negotiate anything between 380 and Taka 420

Answer to the Question # 3 (d) (iii)

The Manager of B knows that A will save on the external sales' variable selling overhead. What is Taka 380 for A from outside selling price (380-300 = 80) is equivalent of Taka 330 from B (contribution = 330-250 = 80).
Manager of B will negotiate between Taka 330 per unit to Taka 420 per unit, beyond which B will not pay.

Answer to the Question # 3 (d) (iv)

Top Management:
At 380 transfer price, A saves Taka 50 on selling overhead. B saves Taka 40 on reworking. Hence, at 375, A saves Taka. 45 and B also saves Taka 45. Hence Taka 375 will be a fair cost.
Alternatively,
As top management, the price to be decided will be midway between 380 and 420, which is 400, equally fair to A and B.

Answer to the Question # 4 (a)

(i) Operating Expenses
Division manager are likely to reduce or defer operating expenses in order to increase division income, return on investment and their bonuses. Research and development of new products is likely to be deferred while training expenses, quality control measures and repair and maintenance may be reduced.

(ii) Product Mix
Division managers are likely to focus their attention on mature products which offer immediate profitability rather than spend their effort and resources on new products.

(iii) Capital outlays
Division managers are likely to postpone the purchase of plant assets because of these assets' negative impact on return on investment and the profits of the first years after purchase.

Answer to the Question # 4 (b)

These behavioral patterns to improve short-term performance are normal for division managers because their compensation is based on short term performance. Division managers know if they act to enhance long-run profits, they may never reap the rewards because they may be in a different managerial position or with another firm. Division

managers may not be in charge when the division profits are increased as a result of their actions. Short run goals and results are more easily comprehended and more visible than are long run goal.

Answer to the Question # 4 (c)

The following disastrous long-term effects could result from a performance evaluation that emphasizes short run profits:

i) Plant assets may have shorter lives than they should because of the lack of maintenance attention given to them.
ii) An inadequate pool of experienced employees may result from the reduced training expenses.
iii) Companies may lose any production and technological advantage they have by failing to engage in research on a regular basis.
iv) Concentrating on reducing such expenses as labor may cause the workforce to unionize.
v) Failing to use updated technology and modern capital equipment may result in a poorer quality product than would have been manufactured using more recently developed capital assets. Consumers may resent the quality and in the long run switch to a competing product.

Answer to the Question # 4 (d)

The following features would overcome some of the problems inherent in the present evaluation system:

i) Use of flexible budgets which are adjusted to actual volume to replace the fixed budgets established five months prior to the beginning of the year.
ii) If bonuses are continued, they should be determined on the basis of segment margin or residual income using revenue and expense items over which division managers have control.
iii) Realistic planning should be encouraged rather than place so much pressure on division managers to be optimistic.
iv) Use multiple criteria to evaluate performance; reliance on a single measure is unfair as it fails to balance performance extremes in one area versus another. Avoiding single measurements that emphasize either long run or short run performance will be less likely to benefit the division at the expense of the overall company or vice versa.
v) Division managers should be allowed to participate in establishing goals.
vi) Division managers should be given an increased sense of responsibility over activities within their segments.
vii) Performance evaluation measures should be adapted to the life cycle of the division's products. Measurements which have the flexibility to be applied to products in different stages of the product life cycle will encourage division managers to manufacture new products. The use of these flexible measures will lessen the discouragement and fear that management may have from introducing a new product.
viii) Product quality and other nonfinancial measures should be included in the performance evaluation.
ix) Use appropriate accounting procedures which provide a useful basis for managerial evaluation; these procedures for internal planning and control may not be the same ones for external purposes.

Answer to the Question # 5

a) <u>Professional and ethical issue-1: Termination of the client or the business relationship</u>

- The rental of the premises from an audit client represents a business relationship which poses a potential threat to objectivity.
- If the arrangement is:
    - In the ordinary course of business
    - On an arm's length basis
    - Not material to either party

  Then Shabib & Company would be able to continue to act.
- In this case the rental income is likely to be material to the audit client as it represents 10% of total income.
- The audit firm would need to take immediate steps to terminate either the client or the business relationship.

b) <u>Professional and ethical issue-2: Providing accountancy service while many auditors not allowed</u>

- In certain cases, there are prohibition of accounts preparation work for listed company audit clients.

- The key question is whether the work proposed simply involves the typing up of a set of accounts are inserting client generated information into a standard accounts package without being required to perform any additional calculations or make any judgements. If this were genuinely the case it would be permissible.
- In this case it is likely that the preparation of the financial information will involve the auditor in making subjective judgements as the internal reporting format will need to be converted into the statutory format. Decisions will need to be made for example, about the level and nature of disclosures. This would constitute an accountancy service and would not be allowed.

c) Professional and ethical issue-3: Conflict of interest

- There is a conflict of interest here. While it may be in the interest of Sarwar Ltd for the auditor to disclose the information regarding the recoverability of the debt this information is confidential as it was obtained in the course of audit work performed for Walker Ltd. Disclosure of this information to XXX would breach the duty of confidentiality.
- ISA code requires that the auditor should disclose a conflict of interest to the parties involved. In this case however, the situation is complicated by the fact that the conflict of interest has had a practical consequence rather than simply being a potential problem. In addition, it may be difficult to make the communication without revealing confidential information.
- The firm should consider whether there were sufficient procedures in place to prevent the conflict of interest occurring in the first place.
- The code states that the auditor should take steps to identify circumstances that could pose a conflict of interest and to put in place any necessary safeguards e.g., use of separate audit teams.
- If procedures were inadequate this may have implications for other client.
- If the balance is not material further action is unlikely to be necessary. If the balance is material the situation will need to be addressed.
- Sarwar Ltd may be aware of the potential irrecoverability of the debt and an allowance for a bad debt may have been made in the financial statements.
- If an adjustment has been made and the auditor is in agreement with it no further action would be required.
- Independent evidence may be available which would indicate that the debt was bad. For example, there may have been correspondence between Sarwar Ltd and Walker Ltd concerning the payment of the balance. There may also be evidence in the public domain, for example newspaper reports and the results of credit checks. However, the auditor would need to consider how this evidence was used, particularly if it was sought as a result of having the confidential information.
- The audit manager could consider requesting Walker Ltd to communicate with Sarwar Ltd.
- This may not be acceptable to Walker Ltd who may feel that any communication would not be in their interest. It may also make any future relationship between the auditor and Walker Ltd difficult.
- If the issue cannot be resolved and the balance is material the auditor will not be able to form an audit opinion. Shabib & Company will need to consider resigning as the auditor of Sarwar Ltd.

d) Professional and ethical issue-4: Revenue recognition policy

It appears that Sarwar Ltd is attempting to implement a change in accounting policy which increases revenue, while at the same time intimidating the auditors to accept this policy. There is an implied threat that Shabib & Company will be removed from office if the accounting policy is not accepted.

Factors to consider include:

- The materiality of the amounts involved. Given that the accounting policy is an attempt to increase revenue, the amount is likely to be material – again it would be unlikely that the directors would want to spend the time and effort if this was not the case. An immaterial amount which did not affect the true and fair view of the financial statements could possibly be ignored, or at least an emphasis of matter paragraph used to alert the numbers rather than a qualification.
- The accounting policies adopted by similar firms in the industry. The directors of Sarwar have noted that the income recognition policy is the same as other firms in the industry. Accounts of similar firms need to be obtained and the accounting policies checked. If the policies are the same as Sarwar, and the technical department of Shabib & Company confirm that the policy follows GAAP, then no modification of the audit report will be required, although audit evidence will be obtained to confirm the correct application of the policy. If the revenue recognition policy is inappropriate, then additional discussion will be required with the directors to determine whether they will continue with the policy, and risk a qualified report, or amend the policy.
- Whether the directors would actually seek to remove Shabib & Company if the revenue recognition policy does not follow GAAP and the audit report will be modified. The audit firm need to document the situation and be

prepared to provide a statement on why they are being removed in accordance with Companies Act requirements.

Shabib & Company will find it difficult to remove the intimidation threat. Advice can be obtained from the ethics partner in the assurance firm, although it is unlikely that the firm's position can be compromised by agreeing to an accounting policy if this does not follow GAAP. Shabib & Company will need to maintain their integrity by insisting that appropriate accounting policies are followed, even where this risk losing an audit client.

Answer to the Question # 6 (a)

Quarterly Income Statement

Amount in Tk

	Local	Overseas	Total
Sales	150,000	200,000	350,000
Variable expenses			
Production (Schedule A)	38,000	52,000	90,000
Marketing (Schedule B)	8,000	12,000	20,000
Total variable expense	46,000	64,000	110,000
Contribution margin	104,000	136,000	240,000
Direct fixed marketing expense (Schedule C)	12,000	3,000	15,000
Segment margin	92,000	133,000	225,000
Indirect fixed expense			
Production (Tk 215,000-Tk 90,000 variable production)			125,000
Administrative			20,000
Total indirect fixed expenses			145,000
Operating Income			80,000

Schedule A **Variable Production Expense**

	(1)	(2)	(3)	(4)	(5)	(6)
Product	%	Local sales Tk	Local variable exp Tk	Overseas sales Tk	Overseas variable exp Tk	Total variable exp Tk
RAM	24	100,000	24,000	100,000	24,000	48,000
ROM	28	50,000	14,000	100,000	28,000	42,000
			38,000		52,000	90,000

Schedule B **Variable Marketing Expense**

	(1)	(2)	(3)	(4)	(5)	(6)
Product	%	Local sales Tk	Local variable exp Tk	Overseas sales Tk	Overseas variable exp Tk	Total variable exp Tk
RAM	4	100,000	4,000	100,000	4,000	8,000
ROM	8	50,000	4,000	100,000	8,000	12,000
			8,000		12,000	20,000

Schedule C

Amount in Tk

Direct Fixed Marketing expense computation	Local	Overseas
Total Marketing expense	20,000	15,000
Less: variable marketing expense (sch B)	8,000	12,000
Fixed marketing expense	12,000	3,000

Answer to the Question # 6 (b)

If the overseas market is dropped, the local market must absorb its separable fixed marketing expense and all indirect fixed expenses as the following shows.

	Tk
Sales	150,000
Variable expenses (from requirement a's)	46,000
Contribution margin -Local	104,000
Separate fixed marketing expense	12,000
Segment margin	92,000
Total indirect fixed expenses	145,000
Operating income (loss)	(53,000)

Yes, the RR International should keep its overseas market because if the market is dropped, the earnings of RR International will be decreased by Tk 133,000 which represents the overseas market's segment margin.

Answer to the Question # 6 (c)

RR International
Quarterly Income Statement

Amount in Tk

	RAM	ROM	Total
Sales	200,000	150,000	350,000
Variable expenses			
Production (Schedule A)	48,000	42,000	90,000
Marketing (Schedule B)	8,000	12,000	20,000
Total variable expense	56,000	54,000	110,000
Contribution margin	144,000	96,000	240,000
Fixed expense			
Production			125,000
Administrative			15,000
Marketing			20,000
Total indirect fixed expenses			160,000
Operating Income			80,000

Answer to the Question # 6 (d)

Depreciation expense per quarter = Tk 200,000/40 quarters = Tk 5,000.
As the depreciation expense of the new machine is directly related to the production of new chips, the minimum contribution margin of new ROM Chips must be at least Tk 101,000 (Tk96,000 present contribution margin + Tk 5,000 of new depreciation expense). Then the operating income of RR International will remain at Tk 80,000.

---The End---